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Study Notes

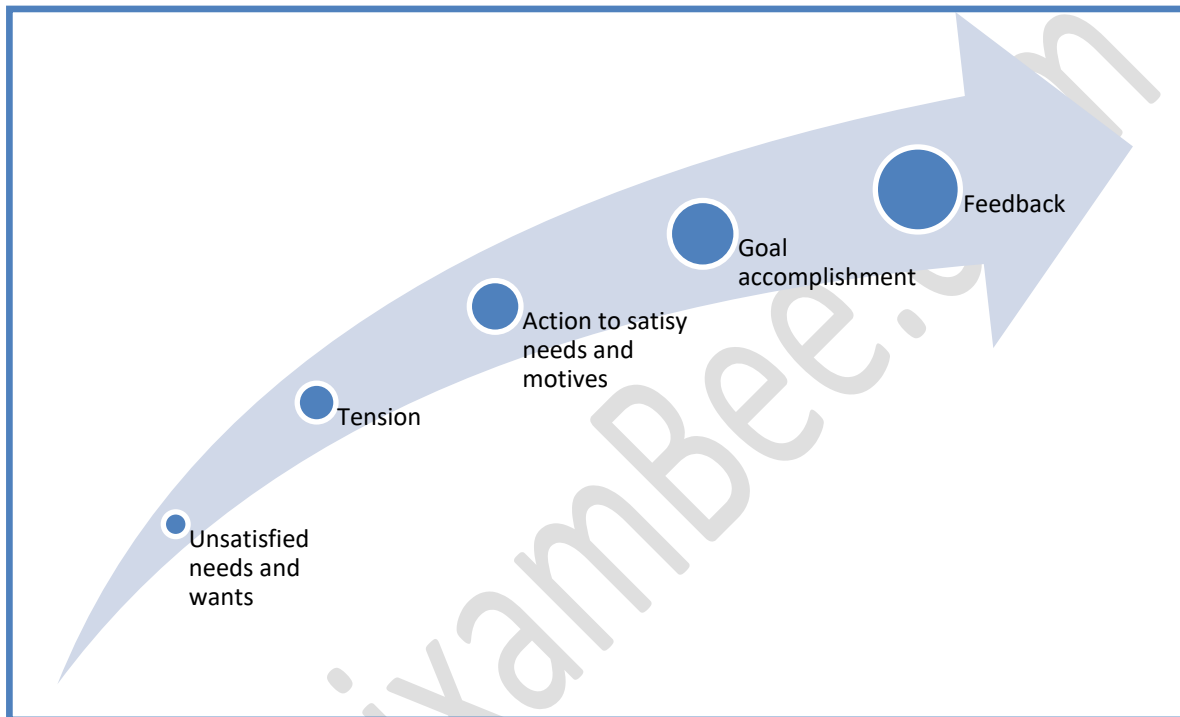
Understanding Motivation and Morale

Motivation - introduction

Motivation is the word **derived from the word 'motive'** which means **needs, desires, wants and drives** which exist within the individuals. Thus, it is the process of **stimulating people to perform actions** to accomplish the goals.

Process of Motivation:

It begins with an **unsatisfied need**, which **creates tension** and **drives** an individual to search for goals that, **if attained, will satisfy** the need and **reduce the tension**.

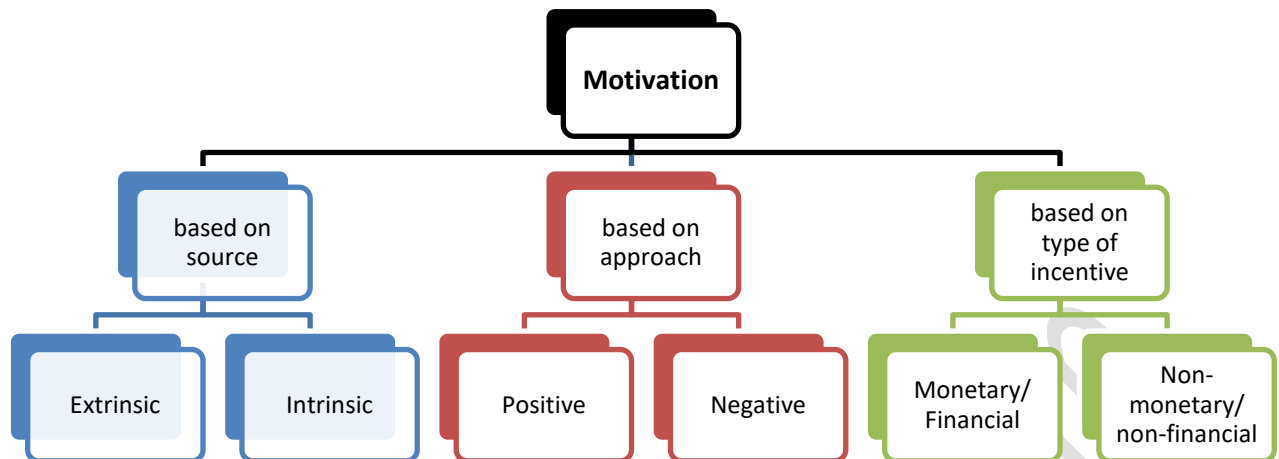


Motivation is a **psychological** phenomenon which means needs and wants of the individuals have to be tackled by framing an incentive plan

Nature and Characteristics of Motivation



Types of Motivation



Extrinsic/External

- Comes from outside forces
- Desire to do something because its externally rewarding
- E.g. – higher salary, bonus, recognition, promotion, layoff, etc.

Intrinsic/Internal

- Comes from within a person
- Desire to do something because it is enjoyable or satisfying
- E.g. – learning, sense of achievement, social contacts, curiosity, respect

Positive

- Based on reward
- Improves performance
- Achieved by co-operation of employees leading to feeling of happiness
- E.g. – bonus, promotion, recognition

Negative

- Based on fear or punishment
- Fear to act as a push mechanism for employees to do certain job
- causes to anger and frustration in employees
- E.g. – demotion, layoff, etc.

Monetary

- Salary,
- Bonus,
- Share in profit,
- Retirement benefits, etc.

Non-monetary

- Recognition,
- Promotion,
- Authority and responsibility,
- Appreciation
- Job enrichment
- training

	Internal	External
Positive	Motivators: Passion, self-validation, challenge, satisfaction, desire Outcome: Successful, fulfilled and happy	Motivators: Financial rewards, security, professional recognition and appreciation Outcome: Some success, mostly fulfilled, but dependent on others for continued feelings of success
Negative	Motivators: Fear of failure, feelings of inadequacy, insecurity Outcome: Considerable success, but a high rate of burnout and general unhappiness even after success is attained	Motivators: Pressure from significant others, unstable life, financial pressure Outcome: Some success, yet continued feelings of anxiety and unhappiness even after success is attained

Importance of Motivation

For Organization

- Determinant of individual performance
- Motivated employees empower the team
- Efficient and profitable business
- Ease in adaptability and creativity in times of change
- Optimistic and challenging attitude at work place

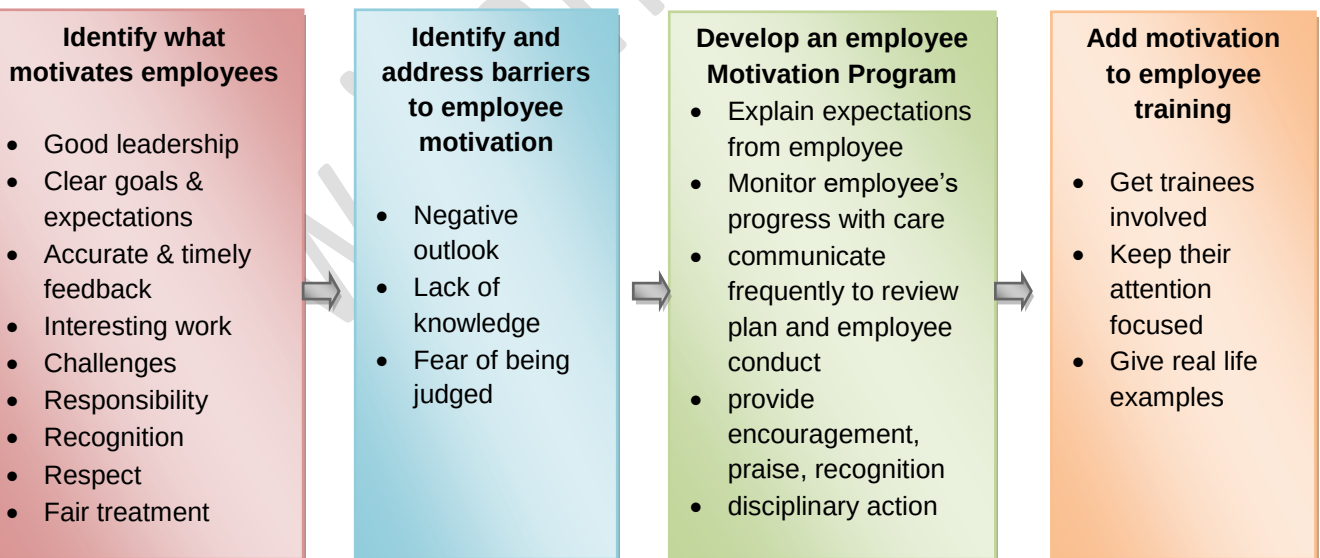
For Individual

- Helps him achieve his personal goals
- Gives him job satisfaction
- Helps in self-development of individual
- Builds friendly relationships
- Gains by working with a dynamic team

We can summarize the importance of motivation as following:

- Improves level of efficiency
- Leads to achievement of organizational goal
- Builds healthy relationship
- Puts human resources into action
- Leads to work force stability
- Disincentives for inefficient employees

How Managers Motivate – Steps to Motivation



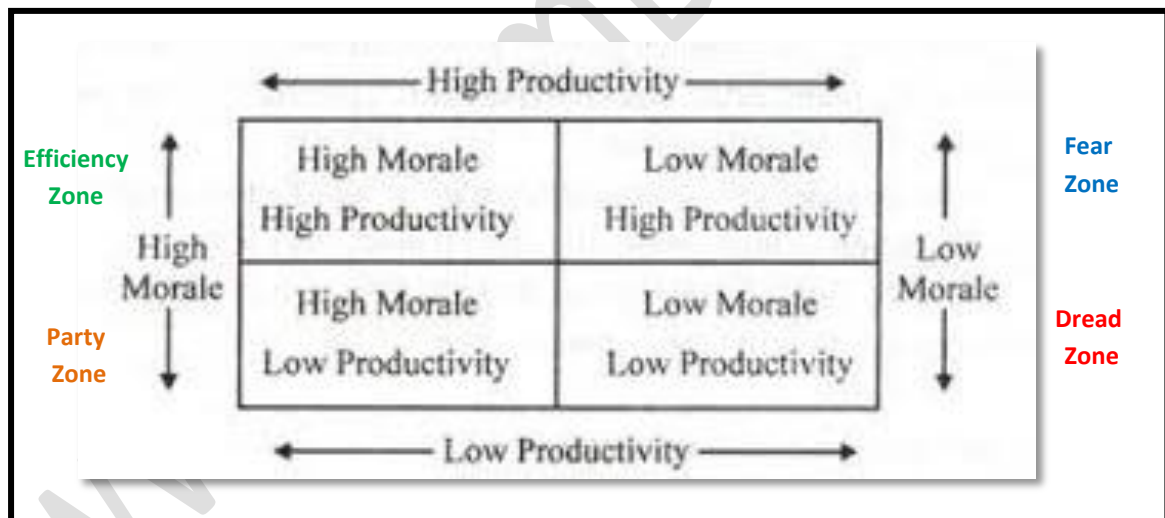
Concept of Morale

Morale is an attitude of an employee towards job, colleagues, his superior, his organization, and the environment.

High Morale	Low Morale
•implies determination at work •keen teamwork on part of the employees •Organizational Commitment and a sense of belongingness in the employees mind •Immediate conflict identification and resolution •Healthy and safe work environment •Effective communication in the organization •Increase in productivity •Greater motivation	•Greater grievances and conflicts in organization •High rate of employee absenteeism and turnover •Dissatisfaction with the superiors and employers •Poor working conditions •Employees frustration •Decrease in productivity •Lack of motivation

Morale and Productivity

Morale and productivity are not always positively related. Rensis Likert stated that there can be different combinations of morale and productivity.



High Morale – High Productivity:

Also referred to as the Efficiency Zone, it represents the ideal combination of morale and productivity. It occurs when right motivational policies are adopted by managers such that the employees not only know their jobs, but also feel committed towards the organisational goals.

High Morale – Low Productivity:

This is referred as the Party Zone, where although the employees are satisfied with the jobs but they are not committed to the work. This may be because of the nature of task, the nature of superiors, kind of technology used, work methods or inadequate training facilities

that restrict efforts to perform their jobs well. People work for their individual/group goals rather than organisational goals.

Low Morale – Low Productivity:

It is the Dread zone. Lack of motivation, unclear jobs and lack of harmonious superior – subordinate relationships reflect low morale and, therefore, frustrations, tensions, discontentment and grievances develop against managers which results in low productivity.

Low Morale – High Productivity:

Low morale results in high productivity when negative motivation is used by managers. Punishments, threats and penalties for non-conformity to organisational plans and policies directs employees towards high productivity. This is a fear zone for the organisation as such a situation does not last for long as negative motivation can increase production only for a short span of time.

Ways to improve Morale

Theoretical studies have revealed that improving morale can enhance employee satisfaction and thus improving profitability. Some important ways to improve morale among workers in an organization are:

- Organizational Transparency: Transparency in an organization helps build trust and loyalty in the organisation and employees.
- Feedback: Employers need to give positive feedback to employees. This should be regarded narrowly. A positively oriented meeting to analyse a current success what have they done right is also important and contributes to morale in the organization. Feedback should be implemented regularly and constantly.
- Workshops and interactive activities: Company must organize workshops to train employees. Let employees express feelings, opinions and thoughts.
- Leadership and decision making flexibility: Adjusting decision taking strategy to discuss with employees and listen whenever possible but not always.
- High organizational and management credibility are highly important as employees can be reassured and can trust management.
- Working environment must be improved as much as possible.

Motivation, Morale and Incentives

Motivation	Morale	Incentives
• Process of stimulating people to action to accomplish the goals • Individual concept – needs, wants, desires of individual that drive him • internal -psychological phenomenon	• internal feeling towards work inspired by the external environment, attitude, behaviour • depends on relation between expectations and reality • group phenomenon	• stimulus for greater action • positive (rewards, praise, etc.) or negative (demotion, penalties, etc.) • monetary (bonus, etc.) or non-monetary (promotion, job security, job enrichment, recognition, etc.)

- Higher motivation often leads to higher morale of employees, but high morale does not essentially result in greatly motivated employees
- Incentive is a **means to increase motivation**. It is an **act or promise for greater action**. It is also referred to as a stimulus for greater action.
- Incentives can be provided in many forms like- **monetary and non monetary** E.g. higher wages, recognition, praise etc.
- Motivation is **challenging process**. An incentive may be motivation for one person, but the same incentive might not be a source for another individual
- According to Davis, "**Morale is a mental condition of groups and individuals which determines their attitude.**"
- In short, morale can be described as **a fusion of employees' attitudes, behaviours, manifestation of views and opinions** - all taken together in their work scenarios, exhibiting the employees' feelings towards work, working terms and relation with their employers. Morale includes employees' attitudes on and specific reaction to their job.
- There are **two states of morale: high morale and low morale**

Difference between motivation and morale

Motivation	Morale
Motivation is an internal-psychological drive of an individual which urges him to behave in a specific manner	Morale is more of a group scenario
Higher motivation often leads to higher morale of employees	High morale does not essentially result in greatly motivated employees
It is an individual concept	It is a group concept
Motivation acquires primary concern in every organization	It is a secondary phenomenon
Things tied to motivation are tied to the performance of the individual.	Things tied to morale are usually things that are part of the work environment